Fees and Charges

Segment	Income Stream	2023-24 Income	2023-24 Full Cost	2023-24 Surplus/ (deficit)	2023-24 Fee recovery actual	2023-24 Fee recovery target	2022-23 Income	2022-23 Full Cost	2022-23 Surplus/ (deficit)	2022-23 Fee recovery actual	2022-23 Fee recovery target
		£000	£000	£000	%	%	£000	£000	£000	%	%
Corporate and Delivery	College of Policing - People Development	36,029	73,829	(37,800)	49%	100%	36,029	73,829	(37,800)	49%	100%
Corporate and Delivery	SIA - Licensing and ACS Income	33,328	33,842	(514)	98%	100%	30,477	33,396	(2,919)	91%	100%
Corporate and Delivery	DBS Disclosures and Update Service	215,995	211,431	4,564	102%	100%	217,079	196,858	20,221	110%	100%
Customer Service (UKVI)	In-Country and Overseas	2,626,006	1,244,794	1,381,212	211%	212%	2,201,954	1,029,648	1,172,306	214%	202%
Customer Service (HMPO)	Passports & other associated income	629,487	852,420	(222,933)	74%	100%	711,900	845,688	(133,788)	84%	100%

4. Income

	2023-24		2022-23	
	Core Department & Agencies	Departmental Group	Core Department & Agencies	Departmental Group
	£000	£000	£000	£000
Revenue from contracts with customers				
Passport fees	510,047	510,047	573,913	573,913
Visa and immigration income	2,635,103	2,635,103	2,184,054	2,184,054
Hendon data centre income	135,100	135,100	131,659	131,659
Certificate services	23,934	23,934	23,108	23,108
DBS income	-	215,990	-	217,077
EU income	34,375	34,375	66,533	66,533
Asset recovery income	213,025	213,025	219,921	219,921
Other revenue from contracts with customers	185,273	256,604	176,260	244,062
Other operating income				
Immigration Health Surcharge	1,691,477	1,691,477	1,540,704	1,540,704
Other income	1,724	1,724	8,740	8,740
Total retained Income	**5,430,058**	**5,717,379**	**4,924,892**	**5,209,771**
Other operating income - payable to Consolidated Fund				
Immigration Health Surcharge	90,333	90,333	165,408	165,408
Other income	9,056	9,056	42,511	42,511
Total payable to Consolidated Fund	**99,389**	**99,389**	**207,919**	**207,919**
Total	**5,529,447**	**5,816,768**	**5,132,811**	**5,417,690**

Our Performance

This Trust Statement shows that gross revenues for the Consolidated Fund have increased from £726 million in 2022-23 to £808 million in 2023-24. The contributing factors are increases in revenue from Immigration Skills Charge and Civil Penalties, which has been offset with a slight decrease in Passport Consular Fees shown under “Other Income”.

The expenditure that the Home Office set-off against revenues was £48 million in 2023-24, compared to £41 million in 2022-23. The increase of expenditure, in particular discounts, credit losses, costs of collection and retained income, is directly linked to the increase in Civil Penalty and Immigration Skills Charge income.

The Department undertook a review of its receivables in 2023-24, as done in prior years, to consider debts that are irrecoverable. Accordingly, there has been a further increase in the expected credit loss (ECL) provision (see note 3.3 in the Notes to the accounts) of £12.6 million in 2023-24, compared with £10 million in 2022-23. Debts amounting to £8.4 million were written off during the year (£11.1 million in 2022-23).

Other expenditure has increased from £31 million in 2022-23 to £36 million in 2023-24, which has been assisted by the increase in Immigrations Skills Charge and Civil Penalties revenue.

The cash position has decreased from £238 million to £228 million. Since 2020-21 regular monthly remittances are being made to HM Treasury of amounts due to the Consolidated Fund, and the balance at the year-end represents the last two months’ activity (payable early in 2024-25), plus an allowance for unpaid debtors, which are not payable until received in cash.

During 2023-24 there has been a significant increase in demand of Immigration Skills Charge which has resulted in an increase in income. Overall civil penalties have increased which can be attributed to: an increase in illegal working enforcement activity; amendments in legislation to increase the maximum level of hauliers penalty; and a new type of hauliers civil penalty being introduced. Consular Protection Fee income has decreased due to a lack of latent demand.



Sir Matthew Rycroft KCMG CBE

Accounting Officer

29 July 2024

Statement of Revenue, Other Income and Expenditure

for the year ended 31 March 2024

	Note	2023-24	2022-23
		£000	£000
Levies and Similar Revenue			
Immigration Skills Charge	2.1	667,798	586,029
Total Levies and Similar Revenue		**667,798**	**586,029**
Fines and Penalties			
Illegal Workers Civil Penalties	2.2	28,059	18,573
Hauliers Civil Penalties	2.2	15,277	5,407
Carriers Civil Penalties	2.2	3,224	4,941
Landlords Civil Penalties	2.2	272	44
Total Fines and Penalties		**46,832**	**28,965**
Other Income			
Duties and Fees	2.3	93,432	110,974
Total Other Income		**93,432**	**110,974**
Total Revenue and Other Income		**808,062**	**725,968**
Expenditure			
Discounts		3,014	1,983
Credit losses - increase/(decrease) in impairment of receivables	3.2	12,554	9,960
Element retained		19,000	16,921
Costs of collection		13,497	12,196
Administration costs		151	102
Total Expenditure		**48,216**	**41,162**
Net Revenue for the Consolidated Fund	6	**759,846**	**684,806**

There were no recognised gains or losses accounted for outside the above Statement of Revenue, Other Income and Expenditure.